



## Study Notes

# SEBI

## Securities and Exchange Board of India

- SEBI was established in 1988 but received statutory powers on April 12, 1992, in accordance with the provisions of the Securities and Exchange Board of India Act, 1992.
- SEBI is the market regulator for Capital Markets and Commodity markets. The Forward Market Commission (former regulator for commodity markets) was merged with SEBI on Sep 28, 2015.
- SEBI discharges its role as regulator of securities market under the following Acts:
  - SEBI Act, 1992
  - Securities Contracts (Regulation) Act, 1956
  - Depositories Act, 1996
  - Companies Act, 2013

## Composition of SEBI's Board

- The chairman - nominated by Union Government of India
- Two members, i.e., Officers from Union Finance Ministry
- One member from the Reserve Bank of India (RBI)
- The remaining five members are nominated by Union Government of India, out of them at least three shall be whole-time members.

## SEBI's Current Board (August 2025)



Tuhin Kanta Pandey  
Chairman, SEBI

[+ Profile](#)

### Whole-Time Members



Shri Ananth Narayan G

Whole-Time Member, SEBI

Under Section 4(1)(d) of the SEBI Act, 1992,

[+ Profile](#)



Shri Amarjeet Singh

Whole-Time Member, SEBI

Under Section 4(1)(d) of the SEBI Act, 1992,

[+ Profile](#)



Shri Kamlesh Chandra Varshney

Whole-Time Member, SEBI

Under Section 4(1)(d) of the SEBI Act, 1992,

[+ Profile](#)

### Part-Time Members



Ms. Deepti Gaur Mukerjee

Part-Time Member, SEBI

Under Section 4(1)(b) of the SEBI Act, 1992,  
Secretary, Ministry of Corporate Affairs,  
Government of India



Ms. Anuradha Thakur

Part-Time Member, SEBI

Under Section 4(1)(b) of the SEBI Act, 1992,  
Secretary, Department of Economic Affairs, Ministry  
of Finance, Government of India



Shri M. Rajeshwar Rao

Part-Time Member, SEBI

Under Section 4(1)(c) of the SEBI Act, 1992,  
Deputy Governor, Reserve Bank of India

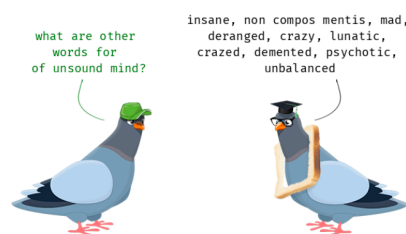
### Central Government powers over SEBI

The Chairman of SEBI is appointed by the Central Government (through the Appointments Committee of the Cabinet headed by the Prime Minister).

As per the rules, the SEBI Chairman is appointed for a term not exceeding five years or up to the age of 65 years. He may be reappointed though.

The Central Government can also remove a member of SEBI under Section 6 of the SEBI Act, 1992, in the following scenarios:

1. He is or at any time has been adjudicated as insolvent.



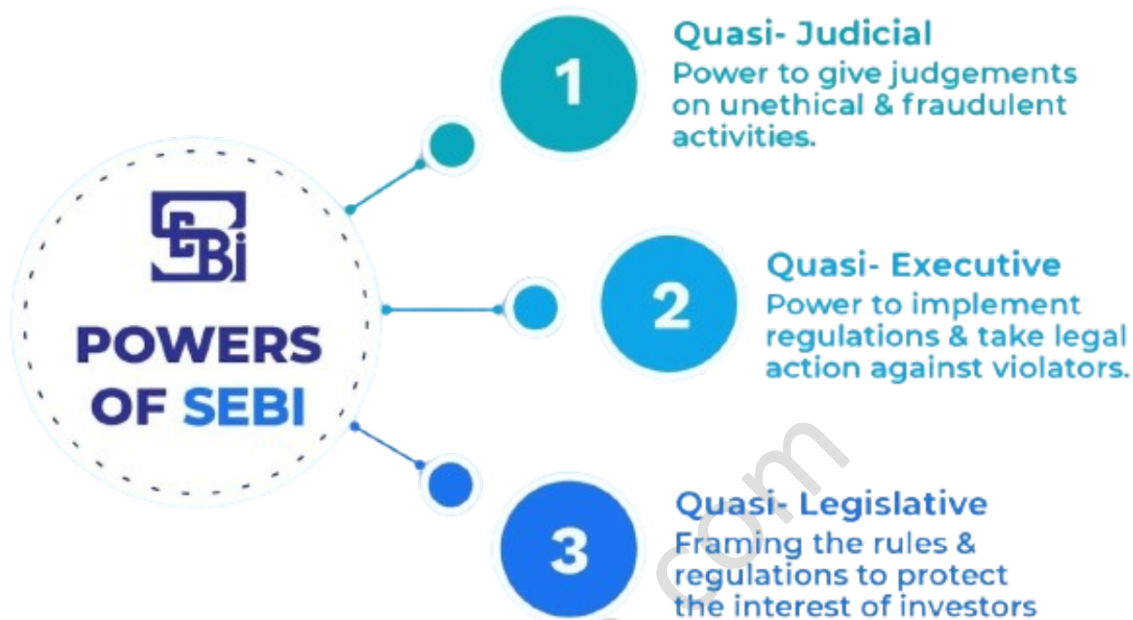
2. Is of unsound mind and stands so declared by a competent court.

3. Has been convicted of an offence which, in the opinion of the Central Government, involves a moral turpitude.



4. Has, in the opinion of the Central Government, so abused his position as to render his continuation in office detrimental to the public interest.

## Functions & Powers of SEBI



**1. Quasi-Judicial** SEBI has the power to give judgments in relation to unethical and fraudulent practices in terms of securities market which helps in ensuring transparency, fairness, accountability, and reliability.

**2. Quasi-Executive** SEBI has the power to implement the regulations and judgements established and to take legal action against anyone who violates the regulations and rules. It also holds the power to inspect the books of accounts and other documents if it suspects the violation of regulations.

**3. Quasi-Legislative** SEBI has the power to frame the rules and regulations to ensure the protection of the interests of the investors. Some of its regulations involve listing obligation, trading regulations and disclosure requirements and these have been framed to avoid the malpractices.

Note - Despite these powers, the conclusion of these functions of SEBI have to go through Securities Appellate Tribunal and Supreme Court of India in some cases.

### Other Functions of SEBI

The functions of SEBI (Securities and Exchange Board of India) encompass a wide range aimed at ensuring the smooth operation and integrity of the securities market in India.

#### 1. Regulatory Functions

- **Registration and Regulation:** SEBI registers and regulates the working of stockbrokers, sub-brokers, and other intermediaries in the securities market. It ensures that these entities comply with the rules and regulations.
- **Regulation of Stock Exchanges:** SEBI regulates stock exchanges to ensure that they operate in a fair, transparent, and efficient manner.
- **Prohibition of Insider Trading:** SEBI enforces regulations that prevent insider trading, ensuring that no participant gains an unfair advantage through non-public information.
- **Regulation of Takeovers and Mergers:** SEBI regulates mergers, acquisitions, and substantial takeovers to ensure that they are conducted in a transparent and fair manner.

#### 2. Protective Functions

- **Prohibition of Fraudulent Practices:** SEBI has the authority to prohibit fraudulent and unfair trade practices related to the securities market. It ensures that market participants adhere to ethical standards.
- **Investor Protection:** SEBI plays a crucial role in protecting investors from unethical market practices. It ensures that investors receive correct and timely information to make informed decisions.
- **Education and Awareness:** SEBI conducts investor education programs to increase awareness and knowledge about the securities market.

#### 3. Developmental Functions

- **Promotion of Fair Practices:** SEBI promotes fair practices by intermediaries, ensuring that they operate in the best interest of investors.
- **Market Development:** SEBI promotes the development of the securities market by introducing new products, services, and financial instruments that cater to the needs of investors and issuers.
- **Research and Development:** SEBI conducts research to identify and address issues in the securities market, ensuring continuous improvement and innovation.

#### 4. Enforcement Functions

- **Conducting Investigations:** SEBI has the power to conduct investigations and audits of market participants to detect and prevent any irregularities.
- **Adjudication:** SEBI can adjudicate and pass orders in cases of violations of its regulations. This includes imposing penalties on defaulters.

- **Dispute Resolution:** SEBI has mechanisms in place for the resolution of disputes between market participants, including investors and intermediaries.

## Role of SEBI as Market Regulator

### Protecting Investors:

- SEBI ensures that the interests of investors are safeguarded by regulating the securities market, preventing fraudulent practices, and ensuring that markets operate transparently.
- **Example:** SEBI took action against Sahara India Real Estate Corporation Limited and Sahara Housing Investment Corporation Limited for raising funds from the public without proper disclosures, which was a violation of securities laws. SEBI ordered the companies to refund the money collected to the investors with interest, thus protecting the investors from potential losses due to misleading investment schemes.

### Ensuring Fair, Efficient, and Transparent Markets:

- SEBI is responsible for maintaining the integrity of the securities market. It ensures that the markets function efficiently and that all market participants have access to accurate and timely information, thus fostering a level playing field.
- **Example:** SEBI introduced the "**Know Your Client (KYC)**" norms to ensure that all market participants are properly identified, which prevents fraudulent activities and money laundering. This initiative helps maintain a fair and transparent market by ensuring that all investors' identities are verified before they participate in the securities market.

### Reducing Systemic Risk:

- SEBI works to minimise the risks that could lead to a systemic failure of the financial markets. It ensures that market intermediaries and participants adhere to regulations that prevent practices which could destabilise the market.
- **Example:** During the 2008 global financial crisis, SEBI introduced **regulations for credit rating agencies** to enhance transparency and accountability. By ensuring that credit rating agencies operate with greater oversight and integrity, SEBI helped reduce the risk of systemic failures in the financial market that could arise from inaccurate or biased credit ratings.

### Promoting Investor Confidence:

- By maintaining a fair and transparent market, SEBI fosters investor confidence. It also engages in investor education to make them aware of their rights and the functioning of the securities market.
- **Example:** SEBI launched the **SCORES 2.0 (SEBI Complaints Redress System)** platform, which allows investors to lodge complaints online against listed companies and market intermediaries. This system ensures that investors' grievances are addressed in a timely manner, thus boosting their confidence in the securities market.

### Regulatory Jurisdiction:

- SEBI's regulatory jurisdiction extends over corporates in the issuance of capital and transfer of securities. This includes all intermediaries and persons associated with the securities market.
- **Example:** SEBI's regulatory jurisdiction was demonstrated when it imposed restrictions on **ICICI Bank's initial public offering (IPO)** due to concerns about the valuation of its shares. SEBI ensured that the shares were priced fairly and that all necessary disclosures were made, protecting both the market's integrity and the interests of potential investors.

### Conducting Inquiries, Audits, and Inspections:

- SEBI has the authority to conduct investigations, audits, and inspections of market participants, including stock exchanges, mutual funds, and other intermediaries. It can also adjudicate offenses under the SEBI Act.
- **Example:** SEBI conducted an **audit of NSE (National Stock Exchange)** to investigate allegations of preferential access to certain brokers, which became known as the "co-location" case. SEBI's investigation revealed that some brokers received unfair advantages, leading to enforcement actions, including penalties and stricter regulations for market exchanges.

### Registration and Regulation of Market Intermediaries:

- SEBI has the power to register and regulate all market intermediaries, such as stockbrokers, sub-brokers, and others. It can impose penalties for violations of the Act, rules, and regulations.
- **Example:** SEBI mandates that **mutual fund managers** must be registered and follow stringent guidelines regarding the management of funds. When SEBI found violations in the management practices of mutual funds by **Franklin Templeton India**, it ordered the closure of certain debt schemes and ensured that investors were refunded their investments.

### Taking Enforcement Actions:

- If SEBI has reasonable grounds to believe that any company or individual has engaged in insider trading, fraudulent, or unfair trade practices, it can take various enforcement actions.
- **Example:** SEBI banned **Ketan Parekh, a stockbroker** involved in the 2001 stock market manipulation scam, from trading in the securities market. SEBI found that Parekh was involved in rigging stock prices to his advantage, leading to significant market disruption. SEBI's enforcement action prevented further market manipulation and protected investor interests.

## Penalties by SEBI

### 1. Section 15A: Penalty for Failure to Furnish Information, Return, etc.

If any person, who is required under the SEBI Act or any rules or regulations made thereunder:

- **(a) To furnish any document, return, or report to the Board, fails to furnish the same:**
  - **Penalty:** ₹1 lakh for each day during which such failure continues, subject to a maximum of ₹1 crore.
- **(b) To file any return or furnish any information, books, or other documents within the specified time, fails to do so:**
  - **Penalty:** ₹1 lakh for each day during which such failure continues, subject to a maximum of ₹1 crore.
- **(c) To maintain books of accounts or records, fails to maintain the same:**
  - **Penalty:** ₹1 lakh for each day during which such failure continues, subject to a maximum of ₹1 crore.

### 2. Section 15B: Penalty for Failure by Registered Intermediary to Enter into Agreement with Clients

If any person registered as an intermediary fails to enter into an agreement with their client as required:

- **Penalty:** ₹1 lakh for each day during which such failure continues, subject to a maximum of ₹1 crore.

### 3. Section 15C: Penalty for Failure to Redress Investors' Grievances

If any listed company or registered intermediary, after being called upon by SEBI in writing, fails to redress investors' grievances within the specified time:

- **Penalty:** ₹1 lakh for each day during which such failure continues, subject to a maximum of ₹1 crore.

### 4. Section 15D: Penalty for Defaults in Case of Mutual Funds and Collective Investment Schemes

- **(a) Sponsoring or carrying on any collective investment scheme, including mutual funds, without obtaining a certificate of registration:**
  - **Penalty:** ₹1 lakh for each day during which such activity continues, subject to a maximum of ₹1 crore.
- **(b) Failure to comply with the terms and conditions of the certificate of registration:**

- **Penalty:** ₹1 lakh for each day during which such failure continues, subject to a maximum of ₹1 crore.
- **(c) Failure to apply for listing of its schemes as per regulations:**
  - **Penalty:** ₹1 lakh for each day during which such failure continues, subject to a maximum of ₹1 crore.
- **(d) Failure to dispatch unit certificates of any scheme as per regulatory provisions:**
  - **Penalty:** ₹1 lakh for each day during which such failure continues, subject to a maximum of ₹1 crore.
- **(e) Failure to refund application monies paid by investors within the specified period:**
  - **Penalty:** ₹1 lakh for each day during which such failure continues, subject to a maximum of ₹1 crore.
- **(f) Failure to invest money collected by such schemes in the manner or within the period specified in the regulations:**
  - **Penalty:** ₹1 lakh for each day during which such failure continues, subject to a maximum of ₹1 crore.

#### 5. Section 15E: Penalty for Failure to Observe Rules and Regulations by an Asset Management Company

If any asset management company of a mutual fund fails to comply with regulations restricting its activities:

- **Penalty:** ₹1 lakh for each day during which such failure continues, subject to a maximum of ₹1 crore.

#### 6. Section 15F: Penalty for Defaults by Stock Brokers

- **(a) Failure to issue contract notes in the specified form and manner:**
  - **Penalty:** Up to five times the amount for which the contract note was required to be issued.
- **(b) Failure to deliver any security or make payment of the amount due to the investor within the specified period:**
  - **Penalty:** ₹1 lakh for each day during which such failure continues, subject to a maximum of ₹1 crore.
- **(c) Charging brokerage in excess of the specified rates:**
  - **Penalty:** ₹1 lakh or five times the amount of brokerage charged in excess, whichever is higher.

#### 7. Section 15G: Penalty for Insider Trading

If any insider:

- Deals in securities of a company based on unpublished price-sensitive information.
- Communicates unpublished price-sensitive information to any person, except as required in the ordinary course of business or under any law.
- Counsels or procures any person to deal in securities based on unpublished price-sensitive information.

**Penalty:** ₹25 crore or three times the amount of profits made from insider trading, whichever is higher.

#### 8. Section 15H: Penalty for Non-Disclosure of Acquisition of Shares and Takeovers

If any person fails to:

- Disclose the aggregate of their shareholding in a company before acquiring any shares.
- Make a public announcement to acquire shares at a minimum price.
- Make a public offer by sending a letter of offer to the shareholders.
- Make payment of consideration to the shareholders who sold their shares pursuant to the letter of offer.

**Penalty:** ₹25 crore or three times the amount of profits made from such failure, whichever is higher.

#### 9. Section 15HA: Penalty for Fraudulent and Unfair Trade Practices

If any person indulges in fraudulent and unfair trade practices relating to securities:

- **Penalty:** ₹25 crore or three times the amount of profits made from such practices, whichever is higher.

#### 10. Section 15HB: Penalty for Contravention Where No Separate Penalty Has Been Provided

For any failure to comply with provisions of the SEBI Act, rules, regulations, or directions issued by SEBI, for which no separate penalty is specified:

- **Penalty:** Up to ₹1 crore.

#### Adjudication Process and Factors

- **Power to Adjudicate (Section 15I):** SEBI appoints adjudicating officers (not below the rank of a Division Chief) to conduct inquiries after giving the concerned person a reasonable opportunity of being heard.

- **Factors for Determining Penalty (Section 15J):** While determining the quantum of penalty, the adjudicating officer considers:
  - The amount of disproportionate gain or unfair advantage made due to the default.
  - The amount of loss caused to investors as a result of the default.
  - The repetitive nature of the default.

### Crediting of Penalties

- **Section 15JA:** All sums realized by way of penalties under the SEBI Act are credited to the **Consolidated Fund of India**.

### Regulations by SEBI (As of Aug 2024)

#### 2024

- **Securities and Exchange Board of India (Index Providers) Regulations, 2024**

#### 2021

- **Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021** - Last amended on August 3, 2021
- **Securities and Exchange Board of India (Issue and Listing of Non-Convertible Securities) Regulations, 2021** - Last amended on July 10, 2024
- **Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021**
- **Securities and Exchange Board of India (Vault Managers) Regulations, 2021** - Last amended on August 18, 2023

#### 2020

- **Securities and Exchange Board of India (Portfolio Managers) Regulations, 2020** - Last amended on August 18, 2023

#### 2019

- **Securities and Exchange Board of India (Foreign Portfolio Investors) Regulations, 2019** - Last amended on June 26, 2024

#### 2018

- **Securities and Exchange Board of India (Appointment of Administrator and Procedure for Refunding to the Investors) Regulations, 2018**
- **Securities and Exchange Board of India (Buy-back of Securities) Regulations, 2018** - Last amended on May 17, 2024
- **Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018** - Last amended on May 10, 2024

- **Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018** - Last amended on May 17, 2024
- **Securities and Exchange Board of India (Settlement Proceedings) Regulations, 2018** - Last amended on August 09, 2023
- **Securities Contracts (Regulation) (Stock Exchanges and Clearing Corporations) Regulations, 2018** - Last amended on July 29, 2024

#### 2015

- **Securities and Exchange Board of India (Issue and Listing of Municipal Debt Securities) Regulations, 2015** - Last amended on August 18, 2023
- **Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015** - Last amended on July 10, 2024
- **Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015** - Last amended on June 26, 2024

#### 2014

- **Securities and Exchange Board of India (Infrastructure Investment Trusts) Regulations, 2014** - Last amended on July 13, 2024
- **Securities and Exchange Board of India (Real Estate Investment Trusts) Regulations, 2014** - Last amended on July 13, 2024
- **Securities and Exchange Board of India (Research Analysts) Regulations, 2014** - Last amended on April 26, 2024

#### 2013

- **Securities and Exchange Board of India (Investment Advisers) Regulations, 2013** - Last amended on April 26, 2024

#### 2012

- **Securities and Exchange Board of India (Alternative Investment Funds) Regulations, 2012** - Last amended on August 06, 2024

#### 2011

- **Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011** - Last amended on May 17, 2024
- **Securities and Exchange Board of India {KYC (Know Your Client) Registration Agency} Regulations, 2011** - Last amended on August 18, 2023

#### 2009

- **Securities and Exchange Board of India (Investor Protection and Education Fund) Regulations, 2009** - Last amended on October 23, 2023

#### 2008

- **Securities and Exchange Board of India (Intermediaries) Regulations, 2008** - Last amended on August 01, 2022
- **Securities and Exchange Board of India (Issue and Listing of Securitised Debt Instruments and Security Receipts) Regulations, 2008** - Last amended on August 18, 2020

#### 2007

- **SEBI (Certification of Associated Persons in the Securities Markets) Regulations, 2007** - Last amended on February 07, 2014

#### 2004

- **Securities and Exchange Board of India (Self Regulatory Organisations) Regulations, 2004** - Last amended on February 07, 2023  
2003
- **SEBI (Prohibition of Fraudulent and Unfair Trade Practices relating to Securities Market) Regulations, 2003**- Last amended on June 28, 2024  
2001
- **SEBI (Procedure for Board Meetings) Regulations, 2001** - Last amended on December 9, 2022
- **Securities and Exchange Board of India (Employees' Service) Regulations, 2001** - Last amended on May 06, 2024  
2000
- **Securities and Exchange Board of India (Foreign Venture Capital Investor) Regulations, 2000** - Last amended on February 07, 2023  
1999
- **Securities and Exchange Board of India (Collective Investment Scheme) Regulations, 1999** - Last amended on August 18, 2023
- **Securities and Exchange Board of India (Credit Rating Agencies) Regulations, 1999** - Last amended on July 11, 2024  
1996
- **Securities and Exchange Board of India (Custodian) Regulations, 1996** - Last amended on July 4, 2023
- **Securities and Exchange Board of India (Mutual Funds) Regulations, 1996** - Last amended on August 01, 2024  
1994
- **Securities and Exchange Board of India (Bankers to an Issue) Regulations, 1994** - Last amended on August 18, 2023  
1993
- **Securities and Exchange Board of India (Debenture Trustees) Regulations, 1993** - Last amended on August 18, 2023
- **Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993** - Last amended on August 18, 2023  
1992
- **Securities and Exchange Board of India (Merchant Bankers) Regulations, 1992** - Last amended on August 18, 2023
- **Securities and Exchange Board of India (Stock Brokers) Regulations, 1992** - Last amended on June 28, 2024